CONFIDENTIAL INTERNAL COMMUNICATION
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POLICY NUMBER: **FP-FIN-045**

DEFINED BENEFIT PLAN

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton" or the "Company") accounting for defined benefit plans in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton has a number of Defined Benefit Pension Plans including a US plan, a UK plan, and numerous other smaller international plans. Benefits for these plans are generally based upon years of service and compensation. Defined benefit pension plans are subjective in nature and have unique financial reporting and disclosure implications.

Hilton has an active noncontributory retirement plan in the US (the "US Plan") which covers certain employees not earning union benefits. The plan was frozen for participant benefit accruals in 1996. Plan assets will be used to pay benefits due to employees for service through December 31st 1996. As employees have not accrued additional benefits since that time, Hilton does not utilize salary or pension inflation assumptions in calculating the benefit obligation for the US Plan.

Hilton has multiple employee benefit plans that cover many of Hilton's non-US employees. These include a specific UK plan (the "UK Plan") that covers workers in the United Kingdom which was frozen to further accruals in 2013, and a number of smaller plans that cover workers in various countries around the world (collectively referred to as the "International Plans").

SCOPE

This policy covers the accounting for defined benefit plans as defined below:

- Defined Benefit Pension Plans - A retirement plan in which an employer promises to provide a defined benefit to its employees upon the employee's retirement. The amount of benefit to be provided is usually a function of a number of factors that are incorporated into the plan's defined benefit formula, such as age, years of service, and compensation during employment.

These types of plans can be sponsored by one, a single-employer plan, or more than one employer, a multiemployer plan. Single-employer plans have one employer who manages and sponsors the plan, while multiemployer plans are in substance aggregations of single-employer plans combined to allow participating employers to pool plan assets for investment purposes or to reduce the costs of plan administration.

Examples of the types of benefits employees typically receive under defined benefit plans include but are not limited to:

- Reimbursement or direct payment to providers or third-party issuers for the cost of health and welfare.
- Benefits that are payable as a lump sum, such as death benefits.
- Pension plan that provides specific payment amounts.
- Postretirement benefits in terms of monetary amounts (e.g. $100,000 life insurance) or benefit coverage to be provided (e.g. up to $200 per der day for hospitalization or 80% of the cost of specified surgical procedures).

APPLICABILITY

This policy applies to all Finance and Human Resource personnel.

EXCLUSIONS/ EXCEPTIONS

Benefits related to employee severance – refer to **FP-FIN-009 – Exit or Disposal Cost Obligations Accounting Policy** for accounting guidance.

AUTHORIZATIONS

Required Consultation with Accounting Research & Policy

Accounting Research & Policy must be notified of any defined benefit plan settlements or curtailments in order to determine the appropriate accounting. Please contact a member of the Accounting Research & Policy Team or AccountingResearch&Policy@hilton.com.

INITIAL RECOGNITION AND MEASUREMENT

a. Pension Benefit Obligations and Accumulated Benefit Obligations

There are two main types of obligations for a defined benefit plan, the Projected Benefit Obligation ("PBO") and the Accumulated Benefit Obligation ("ABO").

- The PBO is the actuarial present value of all the benefits attributed by the plan's benefit formula to employee service rendered as of a date, including assumptions as to future compensation levels, employee turnover, and mortality rates.[1] Stated simply, the PBO is the measure of money that an entity must contribute to the plan to satisfy all benefits attributed to prior participant's service based on future compensation levels.
- The ABO is the actuarial present value of benefits attributed by the plan's benefit formula to employee service rendered as of a date based on current and past compensation levels. The ABO differs from the PBO in that it includes no assumption about future compensation levels. Therefore, for plans that have been frozen or have non-pay related pension benefit formulas, the APO and PBO are identical.[2]

b. Plan Assets

Plan assets are usually stocks, bonds and other investments that have been segregated and restricted, usually in a trust, to provide for pension benefits. The amount of plan assets includes amounts contributed by the employer and amounts earned from investing the contributions, less any benefits paid. Generally, plan assets cannot be withdrawn by the employer from the trust except under certain circumstances. Assets not segregated in a trust or otherwise effectively restricted so that they cannot be used by the employer for other purposes are not plan assets even though they may be intended that such assets to be used to provide pensions.[3] Plan assets are fair valued as of the measurement date.[4] Refer to **FP-FIN-014 – Fair Value Accounting Policy** for details on Hilton's policy for fair valuing assets.

c. Funded Status

If the PBO exceeds the fair value of plan assets, Hilton will recognize a liability that equals the unfunded PBO. If the fair value of plan assets exceeds the PBO, Hilton will recognize an asset that equals the overfunded PBO.[5]

Hilton shall aggregate the statuses of all overfunded and underfunded plans and recognize an asset, or a liability, in its statement of financial position.[6] The funded status for each defined benefit plan should be determined on a plan by plan basis. Said differently, a liability required to be recognized for one plan shall not be reduced or eliminated because Hilton has recognized an asset for another plan unless Hilton clearly has a right to use the assets of one plan to pay benefits of another.[7]

d. Multiemployer Plan

Hilton does not recognize an asset or liability relating to the funded or unfunded status of our multiemployer plans. Instead Hilton will recognize a liability for any unpaid contributions.[8]

SUBSEQUENT MEASUREMENT

a. Timing of Measurement

Hilton measures the plan assets and the PBO and ABO of its defined benefit plans annually as of December 31 (the "Measurement Date")[9] unless a significant event such as a plan amendment, settlement, or curtailment occurs that calls for a remeasurement.[10]

b. Pension Benefit Obligations and Accumulated Benefit Obligations

The calculation of the PBO and ABO include certain key assumptions. Each assumption must reflect the best estimate of the plan's future experience.[11]

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[1] ASC 715-30-35-1A Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement
[2] ASC 715-30-35-2, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement
[3] ASC 715-30-20, Glossary
[4] ASC 715-30-35-50, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement
[5] ASC 715-30-25-1, Compensation – Retirement Benefits, Defined Benefit Plans - Pension, Recognition
[6] ASC 715-30-25-2, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Recognition
[7] ASC-715-30-25-6, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Recognition
[8] ASC 715-80-35-1, Compensation – Retirement Benefits, Multiemployer Plans, Subsequent Measurement
[9] ASC 715-30-35-62, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement
[10] ASC 715-30-35-66, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement
[11] ASC 715-30-35-42, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement

The following are key assumptions used in calculating the PBO and ABO:

- Discount Rate – reflects the rates at which the pension benefits could be effectively settled.[12]
- Future Compensation Levels – estimate of the actual future salaries of the individual employees involved. This assumption takes into account factors such as, expected future changes in general price levels, productivity or merit increases, seniority, or promotion. [13]
- Mortality Rate –The proportion of the number of deaths in a specified group to the number living at the beginning of the period in which the deaths occur. The rate is used in estimating the amount of pension benefits that will become payable.[14]

c. Plan Assets

Plan assets are fair valued as of the measurement date.[15] Refer to **FP-FIN-014 – Fair Value Accounting Policy** for details on Hilton's policy for fair valuing assets.

d. Accumulated Other Comprehensive Income ("AOCI")

Significant changes in pension assets and obligations caused by plan amendments as well as gains or losses resulting from the difference between actuarial estimates and actuals are not recognized immediately in income in the year incurred but are deferred as part AOCI. Amounts are released systematically into income over future years.

The following items are deferred as part of AOCI and recognized as part of Net Periodic Pension costs in future years:

- Current year gains or losses due to changes in the amount of either the PBO or plan assets resulting from actual results being different from the projected results or from changes in assumptions.[16]
- Annual changes in the funded status (i.e. the difference between the new PBO and Plan Assets).[17]
- Prior service costs or credits related to pension plan amendments that include provisions that grant retroactive increases or decreases in the plan participant's expected benefits based on prior service.[18]

e. Net Periodic Pension Cost

The net periodic pension cost is the amount recognized in Hilton's financial statements for the cost of a pension plan for a given period. The net periodic pension cost includes a number of components including:

- Service cost – the actuarial present value of benefits attributed by the plan's benefit formula to services rendered by employees during the period.[19]
- Interest cost – the interest incurred on the PBO due to the passage of time.[20]
- Actual return on plan assets – the difference between the fair value of plan assets at the end of a period and the fair value at the beginning of the period, adjusted for contributions and payments of benefits during the period.[21]
- Amortization of any prior service cost or credit recognized in AOCI
- The difference between the actual return on plan assets and the expected return on plan assets, from previous years recognized in AOCI.
- Amortization of the net gain or loss previously included in AOCI.[22]

f. Settlements and Curtailments

Pension plan amendments that result either result in a settlement of a portion or all of the PBO or result in a significant reduction of the expected years of future service of the present employees (i.e., curtailment) will significantly affect Hilton's pension obligation accounting. Hilton should carefully review all plan amendments to determine whether any pension settlements or curtailments occurred.

[12] *ASC 715-30-35-43, Compensation – Retirement Benefits, Defined Benefit Plans –Pension, Subsequent Measurement*
[13] *ASC 715-30-35-31, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement*
[14] *ASC 715-30-20, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Glossary*
[15] *ASC 715-30-35-50, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement*
[16] *ASC 715-30-35-18, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement*
[17] ASC 715-30-25-4, *Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Recognition*
[18] *ASC-715-30-35-10 through 11, Compensation – Retirement Benefits, Subsequent Measurement*
[19] *ASC-715-30-35-6, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement*
[20] *ASC-715-30-35-8, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement*
[21] *ASC-715-30-20, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Glossary*
[22] *ASC-715-30-35-26, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement*

Settlements

The settlement of all or a portion of the pension obligation may result in the recognition of all or part of the associated net gain or loss deferred in AOCI. If the entire pension obligation is settled, the full gain or loss embedded in AOCI will be recognized in income statement. If only a portion of the pension obligation is settled, a pro rata amount of the net gain or loss will be recognized in the income statement.[23] Examples of settlements include lump-sum payments to participants in exchange for the right to postretirement benefits and/or the purchasing of nonparticipating annuity contracts to cover part or the entire benefit obligation.

Curtailments

A curtailment occurs when an event significantly reduces the expected years of future service of present employees or eliminates, for a significant number of employees, the accrual of defined benefits for some or all of their future service.[24] The effect of a curtailment depends on the plan's status, the prior service costs or credits and gains or losses that have been deferred in AOCI. This could result in either a gain or loss upon the plan amendment that results in a curtailment. If the curtailment will result in a loss, it should be recognized in earnings when it is probable and reasonably estimable. If the curtailment will result in a net gain, it should be recognized in earnings when the related employees terminate or the plan suspension or amendment is adopted.[25] For example, if a curtailment eliminates half of the estimated remaining future years of service of those who were employed at the date of a prior plan amendment and were expected to receive benefits under the plan, then the loss recognized in earnings associated with the curtailment is half of the prior service cost included in AOCI related to that amendment that has not been amortized as a component of net periodic pension cost.

g. Multiemployer Plan

Hilton shall recognize as net pension expense the required annual contribution, including both the cash and fair value of noncash contributions, with any unpaid contributions recognized as a liability.[26] In the event Hilton withdrawals from a multiemployer plan, Hilton may have an obligation for the unfunded benefit obligation. If withdrawal is considered probable or reasonably possible Hilton may be forced to accrue.[27] Please refer to **FP-FIN-013 – Commitments and Contingencies Accounting Policy** for guidance.

PRESENTATION

a. Classification of the Plan's Funded Status

Hilton recognizes the funded status of each of its pension plans and other postretirement benefit plans separately in the Consolidated Balance Sheet.[28] Hilton recognizes the funded status of their defined benefit plans within "Other" long-term assets (overfunded) or liabilities (underfunded) on the Consolidated Balance Sheet. Hilton recognizes payments to fund plan assets and payouts required from its pension's plans within the Operating Activities section of our Consolidated Statement of Cash Flows.[29]

b. Classification of Net Periodic Pension Costs

The service cost component of net periodic pension cost is presented within Hilton's "General, Administrative, and Other" line item in the Consolidated Statement of Operations, similar to where Hilton reports its other compensation costs. All other components of net periodic pension cost are presented within Hilton's "Other non-operating income, net" line item in the Consolidated Statement of Operations.[30]

c. Settlement and Curtailment Costs

A gain or loss arising from a settlement or curtailment is presented within Hilton's "Other non-operating income, net" line item in the Consolidated Statement of Operations.[30]

[23] ASC 715-30-35-79, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement
[24] ASC 715-30-35-92, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement
[25] ASC 715-30-35-94, Compensation – Retirement Benefits, Defined Benefit Plans – Pension, Subsequent Measurement
[26] ASC 715-80-35-1, Compensation – Retirement Benefits, Multiemployer Plans, Subsequent Measurement
[27] ASC 715-80-35-2, Compensation – Retirement Benefits, Multiemployer Plans, Subsequent Measurement
[28] ASC 715-20-45-2 through 3, Compensation – Retirement Benefits, Defined Benefit Plans – General – Other Presentation Matters
[29] ASC 230-10-45-16, Statement of Cash Flows, Overall, Other Presentation Matters
[30] ASC 715-20-45-3A, Compensation – Retirement Benefits, Defined Benefit Plans – General – Other Presentation Matters

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section about). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

Transaction	**Affected**		
	Balance Sheet Line Item	**Income Statement Line Item**	**Cash Flow Statement Section**
Change in funded status	- Other assets (debit) - Other liabilities (credit)	- N/A	- Operating Activities (outflow/ inflow)
Recognition of the service cost component of net periodic pension cost	- Other liabilities (credit)	- General and administrative (debit)	- Operating Activities (outflow)
Recognition of non-service cost components of net periodic pension cost	- Other liabilities (credit)	- Other non-operating income, net (debit)	- Operating Activities (outflow)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

FP-FIN-009 – Exit and Disposal Costs Accounting Policy

FP-FIN-013 – Commitments and Contingencies Accounting Policy

FP-FIN-014 – Fair Value Accounting Policy

TERM/ACRONYM	DEFINITION
Accumulated Benefit Obligation (“ABO”)	The actuarial present value of benefits (whether vested or non-vested) attributed, generally by the pension benefit formula, to employee service rendered before a specified date and based on employee service compensation before that date. The accumulated benefit obligation differs from the projected benefit obligation in that it includes no assumption about future compensation levels. For plans with flat-benefit or non-pay-related pension benefit formulas, the accumulated benefit obligation and projected benefit obligation are the same.
Defined Benefit Pension Plan	A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation.
Interest Cost	The amount recognized in a period determined as the increase in the projected benefit obligation due to the passage of time.
Multiemployer Plan	A pension or postretirement benefit plan to which two or more unrelated employers contribute, usually pursuant to one or more collective-bargaining agreements. A characteristic of multiemployer plans is that assets contributed by one participating employer may be used to provide benefits to employees of other participating employers since assets contributed by an employer are not segregated in a separate account or restricted to provide benefits only to employees of that employer. A multiemployer plan is usually administered by a board of

	trustees composed of management and labor representatives and may also be referred to as a joint trust or union plan. Generally, many employers participate in a multiemployer plan, and an employer may participate in more than one plan. The employers participating in multiemployer plans usually have a common industry bond, but for some plans the employers are in different industries and the labor union may be their only common bond.
Net Periodic Pension Cost	The amount recognized in an employer's financial statements as the cost of a pension plan for a period. Components of net periodic pension cost are service cost, interest cost, actual return on plan assets, gain or loss, amortization of prior service cost or credit, and amortization of the transition asset or obligation existing at the date of initial application. The term net periodic pension cost is used instead of net pension expense because part of the cost recognized in a period may be capitalized along with other costs as part of an asset such as inventory.
Plan Assets	Assets (usually stocks, bonds, and other investments), that have been segregated and restricted, usually in a trust, to provide for pension benefits. The amount of plan assets includes amounts contributed by the employer, and by employees for a contributory plan, and amounts earned from investing the contributions, less benefits paid. Plan assets ordinarily cannot be withdrawn by the employer except under certain circumstances when a plan has assets in excess of obligations and the employer has taken certain steps to satisfy existing obligations. Assets not segregated in a trust or otherwise effectively restricted so they cannot be used by the employer for other purposes are not plan assets even though it may be intended that such assets to be used to provide pensions. If a plan has liabilities other than for benefits, those non-benefit obligations may be considered as reductions of plan assets. Amounts accrued by the employer but not yet paid to the plan are not plan assets. Securities of the employer held by the plan are includable in plan assets provided they are transferable.
Plan Curtailment	An event that significantly reduces the expected years of future service of present employees or eliminates for a significant number of employees the accrual of defined benefits for some or all of their future services.
Projected Benefit Obligation ("PBO")	The actuarial present value as of a date of all benefits attributed by the pension benefit formula to employee service rendered before that date. The projected benefit obligation is measured using assumptions as to future compensation levels if the pension benefit formula is based on those future compensation levels.
Service Cost	A component of net periodic cost recognized in a period determined as the actuarial present value of benefits attributed by the pension benefit formula to services rendered by employees during that period. The service cost component is a portion of the projected benefit obligation and is unaffected by the funded status of a plan.
Settlement	A transaction that is an irrevocable action, relieves the employer (or the plan) of primary responsibility for the pension or postretirement benefit obligation, and eliminated significant risks related to the obligation and the assets used to effect the settlement.

ENTITY/PERSONNEL	RESPONSIBILITIES
AccountingResearch&Policy@Hilton.com	The email represents the Accounting Research and Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research and Policy team or the listed e-mail.